SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Argon Limited ("Argon") is listed on the Main Board of The Stock Exchange of Hong Kong Limited ("HKEX"). Argon and its subsidiaries (the "Group") are engaged in the industrial goods sector. Companies in the Group have a financial year end date of 31 December and apply Hong Kong Financial Reporting Standards in the preparation of financial statements. As required by the listing rules, Argon prepares its Environmental, Social and Governance ("ESG") report.

The Group provides capital goods used in the manufacturing, construction, and production of goods including machinery, equipment and supplies. While the capital-intensive nature of this industry requires significant upfront investment, the Group relies heavily on a highly-skilled workforce to operate the machinery and equipment throughout production. Maintaining a skilled labour force is crucial for reducing occupational hazards as well as ensuring efficient and safe operations. In terms of demographics, this industry has traditionally been male-dominated and there has been challenges in attracting younger workers to join the field. One of the Group's core management philosophies is to emphasise human capital development and employees are consistently valued as important assets, reflecting the Group's commitment to nurturing and retaining its talented workforce.

Companies in the Group measure its properties using the revaluation model and its equipment items using the cost model in accordance with HKAS 16 *Property, Plant and Equipment*.

Divestments

On 1 January 2016, Argon paid HK$14,400 million to acquire 90% of the ordinary shares of Baron Limited ("Baron") and has obtained control over Baron since then (the "Acquisition"). Baron engages in the chemical processing industry. On 1 January 2016, the fair value of Baron's net assets was equal to their carrying amounts with an exception of some machinery items. These machinery items had a fair value greater than the carrying amount by a sum of HK$2,500 million. These machinery items would have a remaining useful life of 10 years since 1 January 2016 with no residual value. Argon chose to measure the non-controlling interests in Baron at their proportionate share of the fair value of Baron's net identifiable assets at the acquisition date.

The pandemic adversely affected the operations of Baron, and an impairment review was therefore performed on Baron on 31 December 2021. The recoverable amount of Baron as a cash generating unit as at 31 December 2021 was HK$13,170 million while the carrying value of the relevant assets for impairment review, excluding goodwill, was HK$12,470 million after adjusting the effects on consolidation.

Baron has faced heavy criticism for its environmental impacts, particularly related to ocean pollution. To align with the Group's established ESG policies and uphold its commitment to sustainable operations, on 1 January 2024, Argon made a strategic decision to sell all its ordinary shares of Baron for HK$14,000 million (the "Disposal"). On 1 January 2024, Baron reported a cash balance of HK$3,920 million.

CPA Hong Kong Institute of Certified Public Accountants 香港會計師公會

The following financial information related to Baron:

	1 January 2016 HK$ million	31 December 2023 HK$ million
Equity		
Share capital	6,500	6,500
Retained earnings	5,200	7,420
Revaluation reserve of properties ("Reserve I")	300	1,500
Fair value reserve in relation to investments in debt instruments measured at fair value through other comprehensive income ("Reserve II")	-	(900)
Total equity	12,000	14,520

Argon acquired 70% of the ordinary shares of Carbon Limited ("Carbon") several years ago and has obtained control over Carbon. Argon is planning to sell some of the ordinary shares of Carbon in the last quarter of 2024 (the "Proposed Disposal"). Argon will retain control after the Proposed Disposal so that Argon can maintain strategic oversight over Carbon.

Carmen Liu, one of the members of Argon's audit committee, commented that the accounting impacts of the Proposed Disposal would be the same as those seen in the Disposal earlier this year.

Sale of assets

After the disposal of Baron, Argon has been actively seeking investment opportunities in companies engaged in sustainable chemical processing. As an interim measure, Argon has been sourcing chemical materials from suppliers that require upfront payments as deposits. This created a need for short-term to medium-term financing, and as a result, Argon has decided to sell some of its assets.

Sale and leaseback transaction ("Transaction I")

On 1 July 2024, Argon sold a specialised machine ("Model AI") to Dubnium Limited ("Dubnium") for cash HK$12,028,555 which was the fair value of Model AI on the date of the sale. Concurrently, Argon and Dubnium entered into a three-year lease agreement, whereby Dubnium granted Argon the right to use Model AI. The annual lease payments were set at HK$1,800,000, payable on 30 June 2025, 2026, and 2027. These annual lease payments were determined to be at market rates. The transfer of Model AI qualified as a sale under HKFRS 15 *Revenue from Contracts with Customers*. The following information related to Transaction I:

Incremental borrowing rate of Argon	6% p.a.
Portion of the rights of Model AI retained by Argon after the sale	40%
Carrying amount of Model AI immediately prior to Transaction I	HK$11,228,555

CPA Hong Kong Institute of Certified Public Accountants 香港會計師公會

Factoring of trade receivables ("Transaction II")

On 1 July 2024, Argon sold trade receivables with one of its major corporate customers, Fluorine Limited ("Fluorine"), due in six months with a carrying amount of HK$2,500,000 (the "Receivables"), to Emerald Bank. As a result, Emerald Bank paid Argon HK$2,125,000 on 1 July 2024. Argon would then act as an agent of Emerald Bank to administer collection from Fluorine and distribution of cash flows to Emerald Bank. As a matter of law, Argon would no longer retain any rights to all of the cash flows on the Receivables. In the factoring agreement, Argon is obliged to compensate Emerald Bank if Fluorine fails to pay when the Receivables are due.

Carmen commented that Argon should retain both Model AI and the Receivables on its statement of financial position, as they were still related to Argon's operations. This approach, according to Carmen, could help maintain a higher asset base, which could be favourable in securing borrowings from banks.

<u>Question 1</u> **(28 marks – approximately 50 minutes)**

(a) **Calculate, with supporting workings, the (i) goodwill and (ii) non-controlling interests in Baron arising from the Acquisition presented on the Group's consolidated statement of financial position as at 31 December 2023.**

Note: You may present your supporting calculations in the form of consolidation adjustment journal entries. Explanations are not necessary. Taxation impact is ignored.

(12 marks)

(b) **Advise on the accounting impacts to the Group's consolidated financial statements (including consolidated statement of financial position, statement of profit or loss and other comprehensive income as well as statement of cash flows) relating to the Disposal on 1 January 2024.**

Note: You must show supporting calculations. Specifically, you must explain the impacts of Baron's Reserve I and Reserve II balances in the Disposal. Taxation impact is ignored.

(12 marks)

(c) **Describe, with reference to the comment made by Carmen, the accounting impacts to the Group's consolidated financial statements relating to the Proposed Disposal.**

(4 marks)

<u>Question 2</u> **(16 marks – approximately 29 minutes)**

(a) **Outline, in accordance with the *Conceptual Framework for Financial Reporting*, what derecognition is and the criteria for derecognition of assets.**

(2 marks)

(b) **Analyse how Argon should account for the following transactions on 1 July 2024:**

(i) **Transaction I; and**

(6 marks)

(ii) **Transaction II.**

(8 marks)

In your analysis, you are required to discuss the requirements with reference to the appropriate financial reporting standards. You should also refer to the comment made by Carmen and explain whether the relevant assets should be, based on the information provided, derecognised or not. You must support your analysis with computations of any gain or loss on derecognition, if applicable.

Note 1: You are not required to discuss the treatments of both transactions after 1 July 2024.

Note 2: A maximum of 2 marks for analytical skill will be awarded.

<u>Question 3</u> (6 marks – approximately 11 minutes)

With reference to the listing rules of the HKEX, describe the disclosure requirements in relation to employee-related issues which are on a "comply or explain" basis when the Group prepares its ESG report.

Note: You are required to highlight specifically where such employee-related issues should be included in the ESG report with relevant examples to support your discussions.

(6 marks)

* * * * * * *

CPA Hong Kong Institute of Certified Public Accountants 香港會計師公會

End of Section A

SECTION B – ESSAY / SHORT QUESTIONS **(Total: 50 marks)**

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 4 **(15 marks – approximately 27 minutes)**

Charming Limited ("CL") is engaged in manufacturing of electronic devices and it owns and operates several manufacturing plants in various countries in Asia. The following events occurred during the financial year ended 31 December 2024.

Exchange of manufacturing plants

CL entered into an agreement with an independent third party to exchange its manufacturing plant in City A ("Plant A") for another manufacturing plant in City B ("Plant B"). The transaction was part of CL's expansion plan in City B where customer demand was growing. The management expected that it would significantly enhance the performance and cash flows of the businesses of CL. In addition, since Plant A and Plant B are in different cities with different customer demands, the management expects that the risk, timing and amount of the cash flows brought by Plant B will be significantly different from Plant A.

The transaction was completed in September 2024. Immediately before the completion, the fair values of Plant A and Plant B were reliably measurable and were both estimated to be HK$200 million, while the carrying amount of Plant A on the books of CL was HK$180 million. CL initially recognised Plant B at HK$180 million. The management considers that such transaction does not have commercial substance from the accounting perspective and should not bring about any gain or loss, because this was an exchange of assets with the same fair value and of the same nature.

Change in permitted use of a building

CL owns a five-storeyed industrial building in City C ("Building C") which it has leased out for rental income for years. CL classifies it as investment property in its entirety and measure it using fair value model.

In March 2024, CL applied to the government authority for re-development of Building C so that it also could be used for commercial purpose. The application was initiated following market research conducted by management which indicated that similar re-development projects were being carried out in nearby areas. The fair value of Building C, on the basis that it was used for commercial purpose (after considering decommissioning costs) was estimated to be significantly greater than that used for industrial purpose. The application was approved in December 2024. As of 31 December 2024, the re-development work had not yet commenced.

Joe, a director of CL, commented that, applying "HKFRS 13 *Fair Value Measurement*, a non-financial asset's current use is the highest and best use. Unless we start the re-development work, the fair value measurement of Building C on 31 December 2024 should not consider the potential for redevelopment into another use".

Required:

(a) **Advise and explain whether you agree with the accounting treatment of CL in respect of the exchange of the manufacturing plants.**

(8 marks)

(b) **Advise and explain whether you agree with Joe's comments in respect of the fair value measurement of Building C.**

(7 marks)

<u>Question 5</u> (19 marks – approximately 34 minutes)

Victory Limited ("Victory") is engaged in manufacturing and trading of petrochemical products. It operates three manufacturing facilities, Factory A, Factory B and Factory C.

Factory A manufactures Product A in Country A and Factory B manufactures Product B in Country B. Product A is an intermediate product for the manufacturing of Product B. Although there is an active market for Product A in both Country A and Country B, Factory A does not sell Product A externally and it transfers all the Product A to Factory B for further production into Product B which Victory sells externally.

Simon, a director of Victory, commented that, "for the purpose of impairment testing, Factory A and Factory B should be considered as one single cash-generating unit ('CGU'), because they work together to generate independent cash inflows to Victory. I struggle to see Factory A as a CGU because it sells all the products produced to Factory B at an internal transfer price which is not at arm's length".

Factory C manufactures and sells Product C in Country C. Victory identifies Factory C as a CGU which consists of leasehold land, plant and machineries. Impairment indicator was identified on the operation of Factory C which triggered impairment assessment. When preparing the value in use calculation for Factory C, the management considered whether to include the following cash flows or not:

(1) expenditure to be incurred for replacement of component of the machineries.

(2) expenditure to be incurred for upgrading machineries to increase production capacity, and its related cash inflows expected to arise.

(3) expenditure to be incurred and its related costs savings or benefits arising from a future restructuring plan of Factory C which Victory was already committed to as of 31 December 2024.

After having properly considered whether to include the above cash flows in the value in use calculation or not, the management finalised and estimated the value in use of Factory C to be HK$550,000,000 on 31 December 2024. The management estimated the fair value less costs of disposal of the assets of Factory C on 31 December 2024 as follows:

	Carrying amount HK$'000	**Fair value less costs of disposal HK$'000**
Leasehold land	300,000	240,000
Plant	180,000	180,000
Machineries	120,000	120,000
Total	**600,000**	**540,000**

CPA Hong Kong Institute of Certified Public Accountants 香港會計師公會

Required:

(a) **Advise and explain whether you agree with Simon's comments in respect of identification of CGU in respect of Factory A and Factory B.**

(6 marks)

(b) **Advise the management of Victory whether the relevant cash flow items (1), (2) and (3) should be included in the value in use calculation for Factory C.**

(6 marks)

(c) **Advise how much impairment loss should be recognised for each asset under Factory C on 31 December 2024.**

Note: In your answer, you should describe the decision-making process for determining the level of impairment testing and advise whether the impairment loss, if any, should be recognised based on impairment testing of individual asset level or CGU level.

(7 marks)

Question 6 **(16 marks – approximately 29 minutes)**

Gemini Limited ("GL") is a manufacturer and seller of home appliances, and its financial year is ending on 31 December. GL owns and operates several manufacturing sites. Due to the deteriorating operating performance, in December 2024, the board of directors of GL approved and announced a restructuring plan of its business, details of which are as follows:

Sale plan of Manufacturing Site K ("Site K")

A sale plan was committed to dispose of Site K. On 31 December 2024, GL entered into a sale agreement with a buyer to dispose of Site K. It was agreed in the sale agreement that the backlog customer orders would not be transferred to the buyer. Consequently, GL expects that GL would need to continue to operate Site K at least till 31 March 2026 to complete the backlog customer orders.

Jerry, a director of GL, commented that, "we should classify the operations of Site K as held for sale on 31 December 2024, given that a sale agreement was already signed as of 31 December 2024 and its completion is just a matter of time."

Closure plan of Manufacturing Site L ("Site L")

GL approved and announced a plan for closure of Site L by 31 March 2025. As of 31 December 2024, GL had communicated the details of the closure with the affected parties (including customers, suppliers and employees) and had finalised the estimate for the expenditure to be incurred for the closure.

Employee compensation plan in relation to the closure of Site L

The closure plan of Site L included a plan to lay off 70% of the employees working in Site L, the compensation arrangement of which had also been communicated with the affected employees in December 2024 (assuming that GL could no longer withdraw the offer upon communication). Based on the relevant terms of the arrangement, if these employees continued their services till 31 March 2025, they would receive a payment of HK$300,000 per employee on 31 March 2025; if they left any time before 31 March 2025, they would still receive a payment of HK$180,000 per employee. The remaining 30% employees would receive no payment and they would be retrained and relocated to another manufacturing site (Site M) from 1 January 2025.

Required:

(a) **Evaluate whether you agree with Jerry's comments in respect of the accounting treatment on the Site K on 31 December 2024.**

(3 marks)

(b) **Evaluate and explain whether GL should recognise provisions for the closure plan of Site L for the financial year 2024.**

(4 marks)

(c) **Assuming you are Aubrey Au, the financial controller of GL, prepare a memo to the directors of GL to advise and explain the accounting treatments for the compensation arrangement with the 70% of the employees of Site L, in respect of classification, measurement and recognition for the year ended 31 December 2024 and period ended 31 March 2025.**

Note: A maximum of 2 marks for communication skills will be awarded.

(9 marks)

* * * END OF EXAMINATION PAPER * * *

CPA Hong Kong Institute of Certified Public Accountants 香港會計師公會